

**FEDERAL MEDIATION AND CONCILIATION SERVICE
BEFORE INTEREST ARBITRATOR CARY MORGEN**

**In the Matter of an
Interest Arbitration between**

Illinois Fraternal Order of Police	)	
Labor Council -	)	
Full-Time Police Officers	)	
Below the Rank of Sergeant	)	FMCS No. 220216-03476
	)	
and	)	
	)	
The Village of Broadview	)	

INTEREST ARBITRATION OPINION AND AWARD

A Hearing was held on December 7, 2022, in Broadview, Illinois, before Interest Arbitrator Cary Morgen, having been jointly selected by the Parties, Village of Broadview (“the Employer,” or “the Village”) and Illinois Fraternal Order of Police Labor Council (“the Union”).

The Village was represented by its co-counsels Kevin Camden, CAMDEN LAW OFFICE, and Brian Miller, DEL GADO LAW GROUP, LLC, and testifying for the Village were LeTisa Jones and Chief Thomas Mills. The Union was represented by its counsel, Jeff Burke, and testifying for the Union was Bruce Wisniewski. The Parties gave their presentations primarily in narrative fashion. Both Parties were afforded full opportunity to provide rebuttal testimony as well as to examine and cross-examine witnesses. A 90-page transcript of the proceedings was prepared. Both Parties filed Post-Hearing Briefs which were exchanged through the Arbitrator on February 1, 2023, at which time the record was closed.

TABLE OF CONTENTS

I.	THE PARTIES' STIPULATIONS AND ISSUES IN DISPUTE.....	3
II.	RELEVANT CURRENT CONTRACT PROVISIONS.....	4
III.	RELEVANT STATUTORY LANGUAGE.....	5
IV.	BACKGROUND AND BARGAINING HISTORY	6
V.	FINAL OFFERS PRESENTED DECEMBER 7, 2022.....	7
VI.	TENTATIVE AGREEMENT.....	8
VII.	EXTERNAL COMPARABLES.....	8
	A. Union's Position.....	8
	B. Village's Position	9
VIII.	INTERNAL COMPARABLES	10
	A. Union's Position.....	10
	B. Village's Position	10
IX.	PRESENTATIONS OF THE PARTIES	11
	A. The Union.....	11
	B. The Village.....	17
X.	DISCUSSION AND FINDINGS.....	22
	A. Introduction	22
	B. Analysis of Each Open Issue Based on the Relevant Section 14(h) Factors and Award	23
	1. Wages.....	23
	2. Health Insurance.....	40
	3. Clothing, Maintenance and Special Equipment Allowance	45
	4. New Section 31.7 Health Emergencies.....	50
XI.	AWARD	53
	A. Wages	53
	B. Health Insurance.....	53
	C. Clothing, Maintenance and Special Equipment Allowance	54
	D. Addition of a New Section 31.7 Health Emergencies.....	54

I. THE PARTIES' STIPULATIONS AND ISSUES IN DISPUTE

The pertinent stipulations are as follows:

1. **Arbitrator's Authority.** The Arbitrator in the above captioned matter shall be Cary Morgen. The procedural prerequisites for convening the arbitration hearing have been met, and the Arbitrator had jurisdiction and authority to rule on those mandatory subjects of bargaining brought to him by the Illinois Labor Relations Act and the laws of the state of Illinois, including retroactively to May 1, 2020. The Parties have each voluntarily waived their right to appoint a panel member.

* * *

5. **Final Offers.** Final offers for interest arbitration shall be exchanged and submitted to the Arbitrator at the hearing prior to the hearing formally commencing. Once exchanged, the final offers may not be altered in any manner, unless the Parties mutually agree, reach agreement on an issue, or a party withdraws the offer for the status quo language.

6. **Issues in Dispute.** The following are the only issues between the Parties and subject to this interest arbitration hearing with an indication as to the moving party, and whether the issue is economic or noneconomic in nature. The Parties reserve the right to subtract from, but not add to, the list.

(a) Economic Issues

- (1) Annual wage increases (Both)
- (2) Uniform and Equipment Annual Dollar Amount (Union)
- (3) Cost of Vaccines/Testing (Union)
- (4) Health Insurance Contributions by Employees (Employer)

(b) Non-Economic Issues

- (1) Provision of Receipts for Uniform Spending (Employer)

7. **Evidence.** The parties [sic] agree that the following information shall be jointly submitted to the Arbitrator on or before the convening of the hearing on November 15, 2022:¹

- (a) The Parties' final offers. (Jt. Ex. 1, 2).
- (b) These Stipulations of the Parties (Jt. Ex. 3); and
- (c) All Tentative Agreements (Jt. Ex. 4).
- (d) Materials and testimony offered as evidence of the parties' [sic] bargaining history shall not include the Parties' "off -the-record" proposals.

* * *

10. **The Award.** The Arbitrator shall base his findings and decision upon the applicable factors set forth in Section 14(h) of the Illinois Labor Relations Act. The Arbitrator shall issue his award within sixty (60) days, unless additional time is requested by the Arbitrator. The Arbitrator shall retain jurisdiction

¹ November 15, 2022, was a preliminary working meeting with the Arbitrator. The evidentiary hearing was rescheduled to December 7, 2022.

and authority to resolve any disputes over the incorporation of his award into the Parties' new collective bargaining agreement.

11. **Continued Bargaining.** Nothing contained herein shall be construed to prevent negotiations and settlement of the terms of the contract at any time, including prior to, during, or subsequent to the arbitration hearing.

12. **Duration.** The Parties agree that the contract will be four (4) years in duration effective May 1, 2020, and terminating April 30, 2024.

II. RELEVANT CURRENT CONTRACT PROVISIONS

ARTICLE XXIV INSURANCE

* * *

Section 24.5 Employee Contribution

There will be 24 pay periods per year. Officer contributions shall be deducted on a pre-tax basis and shall be as follows; Officers shall pay 12.5% pf the premium for the health and dental plan in which they are enrolled (HMO, PPO etc.): [sic] however, the Officer's premium contribution shall be capped at four hundred (\$400.00) per month.

* * *

ARTICLE XXIX – UNIFORM ALLOWANCE AND CLOTHING ISSUE

* * *

Section 29.2 Clothing, Maintenance and Special Equipment

* * *

For all bargaining unit Officers, the Employer shall afford the sum of seven hundred thirty dollars (\$730.00) per calendar year for the purchase and maintenance of clothing and special equipment. This annual allowance shall be made available to the Officers on or before May 1st of each year this Agreement is in effect. Newly hired employees shall receive clothing allowance on a pro-rated basis for the first year.

* * *

ARTICLE XXX – WAGES

Section 30.1 Base Salary

The base salary schedule for the fiscal year 5/1/2016 through 5/2019 shall be as follows:

BASE	5/1/2019 2.25%
\$ 60,535.87	\$ 61,897.92
\$ 75,516.38	\$ 77,215.49
\$ 79,626.54	\$ 81,418.13
\$ 83,754.58	\$ 85,639.05
\$ 87,873.67	\$ 89,850.82

(Un. Ex. 3(i))

III. RELEVANT STATUTORY LANGUAGE

The Illinois Public Labor Relations Act

* * *

Section 14. Security Employee, Peace Officer and Fire Fighter Disputes.

* * *

(g) At or before the conclusion of the hearing held pursuant to subsection (d), the arbitration panel shall identify the economic issues in dispute...The determination of the arbitration panel as to the issues in dispute and as to which of these issues are economic shall be conclusive....As to each economic issue, the arbitration panel shall adopt the last offer of settlement which, in the opinion of the arbitration panel, more nearly complies with the applicable factors prescribed in subsection (h)...

(h) Where there is no agreement between the parties, or where there is an agreement but the parties have begun negotiations or discussions looking to a new agreement or amendment of the existing agreement, and wage rates or other conditions of employment under the proposed new or amended agreement are in dispute, the arbitration panel shall base its findings, opinions and order upon the following factors, if applicable:

- (1) The lawful authority of the employer.
- (2) Stipulations of the parties.
- (3) The interests and welfare of the public and the financial ability of the unit of government to meet those costs.
- (4) Comparison of the wages, hours and conditions of employment of the employees involved in the arbitration proceeding with the wages, hours and conditions of employment of other employees performing similar services and with other employees generally:

- (A) In public employment in comparable communities.
- (B) In private employment in comparable communities.
- (5) The average consumer price for goods and services, commonly known as the cost of living.
- (6) The overall compensation presently received by the employees, including direct wage compensation, vacations, holidays, and other excused time, insurance and pensions, medical and hospital benefits, the continuity and stability of employment and all other benefits received.
- (7) Changes in any of the foregoing circumstances during the pendency of the arbitration proceedings.
- (8) Such other factors, not confined to the foregoing, which are normally or traditionally taken into consideration in the determination of wages, hours and conditions of employment through voluntary collective bargaining, mediation, fact-finding, arbitration or otherwise between the parties, in the public service or in private employment.

(5 ILCS 315/14)

IV. BACKGROUND AND BARGAINING HISTORY

The Village of Broadview has approximately 8,000 residents. The Union has represented its Police Officers below the rank of Sergeant since 1986; there are currently 14 members in the Bargaining Unit. Police sergeants are represented by a different union. The Parties have had three prior interest arbitrations: 2000 and 2006 with Arbitrator Cox, and 2015 with Arbitrator Fletcher. In 2000, the sole issue was residency. Prior to the current interest arbitration the Parties held five negotiation sessions between July 8, and September 30, 2021, and mediation sessions on December 30, 2021, and October 24, 2022. (Un. Ex. 7, 12, p. 4; Tr. 8, 13, 50)

(Intentionally Left Blank)

V. FINAL OFFERS PRESENTED DECEMBER 7, 2022

<u>ISSUE</u>	<u>UNION OFFER</u>	<u>VILLAGE OFFER</u>
Article XXX, Section 30.1 Base Salary	Delete the existing salary schedule and replace it with a table reflecting the following wage increases: May 1, 2020 -- 2.5% May 1, 2021 -- 3.0% May 1, 2022 -- 3.25% May 1, 2023 -- 3.25% Total Increase -- 12.0 %	May 1, 2020 -- 0.0% May 1, 2021 -- 2.0% May 1, 2022 -- 2.0% May 1, 2023 -- 2.0% Total Increase -- 6.0%
Article XXIV Insurance, Section 24.5 Employee Contribution	<i>Status Quo</i> (There will be no change in the percentage of employee premium contribution.)	The percentage contribution officers shall pay of the premium for the health and dental plan in which they are enrolled (HMO, PPO, etc.) shall be set as follows: May 1, 2020 – 12.5% May 1, 2021 – 14% May 1, 2022 – 14% May 1, 2023 – 15%
Article XXIX, Section 29.2 Clothing, Maintenance, and Special Equipment Allowance	Increase annual clothing allowance from the Village to \$900.00. <i>Status Quo.</i> (There will be no new additional language.)	<i>Status Quo.</i> (The dollar amount from the Village will remain at \$730.00.) Add New Language: “Officers can purchase uniforms wherever officer chooses.” “Officers must produce receipts for uniform purchases.”
Article XXXI – General Provisions New Section 31.7 Health Emergencies	Add New Language: “The Employer will pay the employees’ out-of-pocket costs for vaccinations and/or disease testing it mandates.”	<i>Status Quo.</i> (There will be no new Section 31.7.)

VI. TENTATIVE AGREEMENT

The Parties reached a Tentative Agreement on other issues, and it is incorporated into this Award.

(Jt. Ex. 4; Un. Ex. 8)

VII. EXTERNAL COMPARABLES

A. Union's Position

The Union proposed the following comparable communities, which the Parties had agreed upon in both the 2007 and 2015 interest arbitrations (referred hereinafter as the “historical comparables”):

- Countryside
- Hillside
- Lyons
- North Riverside
- Northlake
- River Grove
- Schiller Park

The Union has identified three additional communities for this Arbitration:

- Harwood Heights
- Stickney
- Summit

The Union disputes the Village's proposed removal of Lyons and Countryside, which has the highest paid officers among the comparables, and the addition of Bellwood, which has a population more than twice the size of the Village and the lowest starting pay rate of any of the comparables. The Village's methodology is based almost exclusively upon revenues, whereas the Union's is based on identifying facially neutral, “traditional factors”: Equalized Assessed Valuation (“EAV”), General Fund Balance, Public Safety Expenditures, Median Household Income, Median Home Value, Police Department Size, and Index of Crimes. (Un. Ex. 12, p. 25; Tr. 17-20)

B. Village's Position

The Village rejects the Union's contention that the comparables agreed to in 2015 for Arbitrator Fletcher also apply in 2022. The Union's comparables do not account for the impact of COVID, the decreasing revenue for Illinois Municipalities, and the lack of data to make an accurate comparison. The Union's proposed comparable pool includes one of the wealthiest communities in North America: Oak Brook, Illinois, two DuPage County communities: Willowbrook and Clarendon Hills, and three west suburban Cook County municipalities with significant high sales tax revenues: Countryside, Northlake, and North Riverside, and then adds to the 2015 stipulated comparables: Harwood Heights, Stickney, and Summit.

Instead, the Village proposes a set of comparables based upon its financial and budgetary conditions:

- Bellwood
- Hillside
- Northlake
- North Riverside
- River Grove
- Schiller Park

The Village emphasizes that it is not a Home Rule community and thus does not have revenue-generating opportunities as do other communities. It has an EAV for 2020 of about \$315 million, with a budget between \$16 and \$17 million. Its comparables all have about a \$300 million in total equalized assessed property valuation and their budgets are basically between \$15 to \$20 million. Although Bellwood is about double the size of Broadview, with a population of 18,879, Bellwood has a lower EAV with a budget of \$16.4 million.² Wage increases for Police contracts of the comparables average 2.5 to 3 percent.

² In her testimony, Village Administrator LeTisa Jones stated the Bellwood's budget was \$16.4 million. However, in its Brief, the Village states that Bellwood's budget is \$48 million in revenue and \$28 million in expenditures. In the analysis I consider the \$16.4 amount. (Er. Brief, p. 9, footnote 2)

The Village claims that other Union comparables are outliers because they have substantially higher budgets, such as River Grove.³ (Tr. 50-52, 60)

VIII. INTERNAL COMPARABLES

A. Union's Position

The internal comparables, Sergeants and Firefighters—both of which are represented by different unions—are not useful. The Sergeants' contract expired April 30, 2020, and is currently before another Interest Arbitrator. The wage increases for Patrol Officers and Firefighters have historically not identically matched. In their respective FY 2017-2019 contracts, although both units received a 2.25% increase in 2018 and 2019, in 2017 Police Officers received 2.25%, whereas Firefighters received 2.0%.

B. Village's Position

The internal comparability factor is more important than the external. Since 2010, Police and Firefighters contracts have been comparable on wage increases even though the Firefighters are represented by a different union. According to Village Administrator LeTisa Jones, they asked the Firefighters to take a zero percent (0%) increase for 2020 and a one percent (1%) increase thereafter until the Village knew how much property tax revenue it would be receiving and the impact of the pandemic on the budget. The Village neither agrees nor disagrees with the Union's claim that the Firefighters' wage package was in exchange for an inaugural minimum staffing provision. The Police and Firefighters have also been in lockstep on percentage contribution for insurance costs with the exception of year 2011. Therefore, the Village's final offer on insurance contribution is exactly the same as what the Firefighters agreed to. (Tr. 54, 60)

Jones said that the Village also wanted to ensure that both departments not only had adequate healthcare benefits for individual members and their families but also provided new hires with coverage as

³ The testimony from Village Administrator LeTisa Jones regarding the exclusion of River Grove conflicts with the Village's Brief which includes River Grove in its list of comparable communities. (Er. Brief, p. 9; Tr. 51-52, 60)

soon as they start work. Previously, new hires had to wait 30 to 60 days before receiving healthcare benefits. Jones also noted that the Village makes the maximum pension payments for its Police and Fire departments. (Tr. 53-54, 56, 61)

IX. PRESENTATIONS OF THE PARTIES

A. The Union

1. Wages

The Union's final offer for annual across-the-board raises is as follows:

May 1, 2020 --	2.5%
May 1, 2021 --	3.0%
May 1, 2022 --	3.25%
<u>May 1, 2023 --</u>	<u>3.25%</u>
TOTAL	12.0%

Under the current salary structure, Officers are hired at an annual base salary of \$61,897.92 and progress in five years to the top salary level: \$89,850.82. The only salary increases after reaching the top level are longevity raises: 0.25% after 15 years, 0.50% after 20 years, and 0.75% after 25 years. After five years' service there is little incentive for Police Officers to remain with the Village; Officer retention is a significant problem. Since October 2021, seven officers, all of whom were hired between 2009 and 2018, left the Village to work at other police agencies. Officers realize that when they reach seven or eight years of service, they will continue to be paid substantially less than their counterparts at other local agencies until they either leave or retire. Only four of the current members were hired between 2002 and 2013. Of the other ten officers, one was hired in 2019, one in 2020, four in 2021, and four in 2022. Thus 71% of the current force has three years or less service. The Union's wage proposal serves the public interest by keeping the members' wages on pace with neighboring comparable communities in order to retain experienced Officers. Conversely, the Village's wage proposal will only exacerbate the problem. (Un. Ex. 12, p. 23)

In the table that follows, the current salary rates are compared with the 10 external communities proposed by the Union along with the average of those 10 communities. At the first-year salary of \$61,897.92, Broadview ranks 5th out of 11; at the fifth-year top salary of \$89,850.82, Broadview ranks 4th out of 11. However, at 10 years Broadview slips to 7th out of 11, at years 15 and 20 Broadview ranks 9th out of 11, and finally at 25 years 8th out of 11.

2020 Annual Salaries Comparison

	2020 wages						
	start	5 year	10 year	15 year	20 year	25 year	
Countryside	\$65,280.00	\$88,966.00	\$101,747.00	\$101,747.00	\$101,747.00	\$101,747.00	
Harwood Heights	\$57,826.00	\$88,193.00	\$90,397.00	\$93,705.21	\$98,114.00	\$102,524.00	
Hillside	\$57,226.00	\$93,684.00	\$93,684.00	\$93,684.00	\$93,684.00	\$93,684.00	
Lyons	\$56,000.00	\$66,788.00	\$67,588.00	\$72,748.00	\$82,449.12	\$82,449.12	
Northlake	\$73,255.71	\$97,790.47	\$97,790.47	\$97,790.47	\$97,790.47	\$97,790.47	
North Riverside	\$61,989.60	\$92,984.39	\$92,984.39	\$92,984.39	\$104,966.54	\$107,065.87	
River Grove	\$53,500.00	\$79,555.00	\$85,833.03	\$86,583.03	\$87,083.03	\$87,083.03	
Schiller Park	\$66,205.00	\$88,521.00	\$95,736.44	\$98,841.60	\$102,643.20	\$102,643.20	
Stickney	\$53,172.72	\$85,646.66	\$88,216.06	\$90,785.46	\$94,211.33	\$94,211.33	
Summit	\$57,607.00	\$84,656.00	\$86,156.00	\$90,412.00	\$90,412.00	\$90,412.00	
Average	\$60,206.20	\$86,678.45	\$90,013.24	\$91,928.12	\$95,310.07	\$95,961.00	
Broadview	\$61,897.92	\$89,850.82	\$89,850.82	\$90,075.45	\$90,300.07	\$90,524.70	
Rank	5 of 11	4 of 11	7 of 11	9 of 11	9 of 11	8 of 11	

(Un Ex. 12, p. 26)

Under the Union's wage proposal, the rankings of its members in comparison to its comparables would be as follows:

(Intentionally Left Blank)

CONTRACT YEAR and Percent Increase	1-4 YEARS	5-9 YEARS	10-14 YEARS	15-19 YEARS	20-24 YEARS	25+ YEARS
2020 (0%) Current	5 th of 11	4 th of 11	7 th of 11	9 th of 11	9 th of 11	8 th of 11
2020 (2.5%)	4 th of 11	4 th of 11	6 th of 11	7 th of 11	8 th of 11	8 th of 11
2021 (3.0%)	4 th of 9	3 rd of 9	5 th of 9	6 th of 9	7 th of 9	7 th of 9
2022 (3.25%)	4 th of 8	2 nd of 8	4 th of 8	4 th of 8	6 th of 8	6 th of 8
2023 (3.25%)	3 rd of 6	2 nd of 6	3 rd of 6	3 rd of 6	4 th of 6	4 th of 6

(Un. Ex. 12, pp. 31-34)

The Union argues further that wage freezes, as the Village proposes for year 2020-2021, are currently non-existent in Police bargaining units.

Turning to the internal comparables, there is no evidence that the Police and Fire units have a history of lockstep bargaining. Significantly, in return for giving the Village a 0% wage increase in 2020, the Firefighters’ received a coveted and expensive commitment: minimum staffing. The Union projects that maintaining a minimum staffing level of five persons per shift with one three-member Engine Company and a two-person ALS ambulance will cost \$100,000 per year if it requires hiring only one firefighter, which substantially exceeds the Union’s wage proposal as I discuss in more detail later.

Next, the Union considers the cost of living most crucial. Because the first three years of the Contract have elapsed, increases in the annual cost of living increases are known. The first year, May 2020 – May 2021, the cost of living increased by 5.6%, more than twice the Union’s proposed 2.5%; the Village’s proposed 0% increase is unsupportable. The second year, May 2021 – May 2022, the cost of living rose 8.8%, almost three times the Union’s proposed 3.0% increase; the Village’s proposed 2% increase simply cannot be supported. The third year, May 2022 – May 2023, the cost of living increased 1.4% from May to September 2022; the Philadelphia Federal Reserve revised its annualized forecast to 6.7% up from 4.5%. The Union’s proposed 3.25% increase for the third year is considerably below the forecast. The Village’s

proposed 2% increase is once again unsupportable. The Union asserts that its proposed 3.25% increase for year four, May 2023 – May 2024, will still be substantially below the cost of living. (Un. Ex. 12, pp. 29-30)

The evidence shows that the Village is financially stable, and it has not claimed an inability to pay the Union's proposed wage increases. The Village is required to file audited financial statements annually with the State Comptroller. However, the most recent Annual Financial Report filed is from FY 2019-2020 and was prepared during the 2020 COVID-19 shutdown, presenting a distorted view of the Village's financial picture. The only other data the Village provided is its proposed budget for FY 2021 through FY 2023, which anticipated revenues for FY 2021 and FY 2022 as \$16,587,664 and \$16,583,664, respectively.

Based upon the average annual salary of the 14-member bargaining unit, a 1% increase would cost \$850, and roll up to about \$1,000 including payroll taxes and pension costs. The Union estimates the total cost of a 2.5% first-year wage increase to be \$32,500, which is less than two-tenths of one percent of the General Fund revenues for 2020. In comparison to the Village's proposal of 2% for years two, three and four, no more than 1.25% separates the Parties' proposals in each year, which amounts to an added cost of about \$17,500, less than one-tenth of one percent for the Village's revenues each year.

The Village's budget shows a slight increase in expenses each year from FY 2021 through FY 2023, but revenues continue to exceed expenses. For instance, in the year ending 2021, revenues exceed expenses by \$1,156,960, and yet it demands a 0% wage increase. For the years ending 2022 and 2023, it projects revenues to exceed expenses by \$674,833 and \$634,086, respectively. The Village cannot support a case for the inability to pay.

The Union's wage proposal is much closer to the known data and supported by the record than is the Village's proposal. Therefore, the Arbitrator should adopt the Union's proposal.

2. Health Insurance

The Union proposes the status quo. Currently, a member's contribution toward the health insurance premium is 12.5%. Not only is there is no evidence in the record as to the cost of monthly premiums, but there is also no evidence establishing that the Bargaining Unit members have their health insurance through the Village. Although arbitrators have increased the percentage contribution paid by employees, it occurs only when the increase is supported by the evidence, which the Village has not provided. Therefore, the Arbitrator should adopt the Union's proposal to maintain the status quo on the health insurance premium.

3. Uniform Allowance

The Union proposes to increase the annual allowance for the purchase and maintenance of clothing and special equipment to \$900.00 from the current \$730.00, in all four years of the Contract. Although the Union accepts the Village's non-economic proposal that Officers may purchase uniforms wherever they choose, it rejects the proposed requirement that officers produce receipts for uniform purchases.

The dollar amount of the annual allowance (\$730.00) has not changed since May 1, 2012. Since May 2020, the cost of living for Midwest urban consumers has risen about 29%, yet the Union proposes an annual increase of only 23% for the Contract's four-year duration. The BLS's own inflation calculator ⁴ shows the purchasing power of \$730 on 2012 took \$942.77 in December 2022:

(Intentionally Left Blank)

⁴ https://www.bls.gov/data/inflation_calculator.htm. The CPI inflation calculator uses the "All Urban Consumers" (CPI-U) U.S. city average series for all items, not seasonally adjusted.

The image shows a web-based "CPI Inflation Calculator". It features a blue header with the title "CPI Inflation Calculator". Below the header, there are input fields for a dollar amount, a month, and a year. The amount field contains "730.00". The month dropdown is set to "May" and the year dropdown is set to "2012". Below these fields, the text "has the same buying power as" is displayed. Underneath this text, the calculated amount "\$942.77" is shown in a yellow box. Below the calculated amount, there are more input fields for a month and a year. The month dropdown is set to "December" and the year dropdown is set to "2022". At the bottom of the form, there is a blue "Calculate" button.

In addition, the Village had a hybrid Quartermaster/uniform allowance system until March 2, 2022, when Chief Mills informed Bargaining Unit members that he was immediately terminating the Quartermaster system and leaving only the \$730.00 annual allowance. Officers in the comparable communities have either a hybrid quartermaster/uniform allowance system or provide a substantially greater flat allowance.

The Union considers the Village's non-economic proposal requiring officers to provide receipts for uniform purchases a breakthrough proposal. As such, the Arbitrator should apply the established "breakthrough" standard, which requires proof that the current system does not work or creates operational hardships for the party proposing the change and the opposite party resisting the change. The Village had not provided proof that the old system was broken and was suffering operational hardship that required relief. Requiring Officers to provide uniform purchase receipts will serve no purpose other than make the current system more cumbersome.

Therefore, the Arbitrator should adopt the Union's modest proposal because the current allowance has not kept up with the cost of living, it lags behind the external comparables, and it partially compensates for the Village terminating the Quartermaster system.

(Intentionally Left Blank)

4. New -- Section 31.7 Health Emergencies

The Union proposes adding to Article XXX - General, a *new* provision “Section 31.7 Health Emergencies” that states, “The Employer will pay for the employees’ out-of-pocket costs for vaccinations and/or disease testing it mandates.”

Because of the pandemic health crisis, the Village established policies and directives which required Police Officers to get frequent tests for COVID which at the time were convenient and free. (Un. Ex. 9(a-c)) That changed when the free testing facility near Police Headquarters closed, and Officers had to travel farther on their own time to find another free testing facility. The Union acknowledges the Village has since rescinded the policies and directives, but argues that in the event it reinstitutes the same or similar vaccine and/or testing policies, it should be mandated to pay any out-of-pocket costs incurred by Officers to comply.

Also, the Union insists that since October 12, 2021, it has persistently attempted to get the Village to bargain over the policy. It was not until the mediation session on October 24, 2022, with the FMCS when the Union tendered a written proposal to which the Village did not respond. Because the Village chose not to deal with the matter at Contract negotiations, it is appropriate that it now deal with them through Interest Arbitration.

Therefore, the Union believes its proposal for the addition of “Section 31.7 Health Emergencies” is reasonable and should be adopted by the Arbitrator.

B. The Village

1. Wages

The Village’s final offer is for across-the-board raises as follows:

May 1, 2020 --	0.0%
May 1, 2021 --	2.0%
May 1, 2022 --	2.0%
<u>May 1, 2023 --</u>	<u>2.0%</u>
TOTAL	6.0%

Because it is not a Home Rule community, the Village does not have the ability to levy additional taxes or fees; thus its income is primarily property tax revenue and a minimal amount of sales tax revenue, totaling approximately \$4 million per year. Since 2020, when the pandemic began, the budget has remained almost flat with only minor increases in year-over-year expenditures between \$15.5 to \$16 million and a total budget of about \$16.5 million per year.⁵ The Village received approximately \$1.5 million in American Rescue Plan Act (ARPA) federal funding for COVID relief which was spent exclusively for Police and Fire overtime. It is fiscally conservative and is preserving its resources by not paying exorbitant salaries and avoiding large spending increases so as to not overtax its residents. It emphasizes that its sound fiscal management resulted in no adverse effects on employment during the pandemic; its sound fiscal management is further demonstrated through its negotiations with the Firefighters and is comparable with other local communities. Any attempt to compare other communities' contracts with higher wage increases entered into before the pandemic ignores the economic reality that the health crises cast upon the Village and the stress involved in providing continued services to its citizens. (Tr. 46-47, 51, 54-56, 59)

The Village acknowledges the trending economic data with respect to wages and recognizes that wages have to be higher. Nonetheless, it dismisses the Union's claim that it needs to increase salaries at the higher seniority levels to retain employees and instead insists that the Union's proposal will not achieve that goal. Citing several popular press news sources, the Village argues that recruitment and retention in law enforcement is a nationwide problem caused by a myriad of factors other than just wages. Therefore, the Village does not consider a simple across-the-board wage increase will address the Union's perceived inequity beyond seniority year five. The Union's proposal will only serve to keep Broadview wages significantly higher to start. Instead, the Union could have made a proposal on longevity pay.

⁵ As of the December 7, 2022, Hearing, the only audited financial data provided was for FY 2019-2020, the FY 2020-2021 audit was not yet completed. (Tr. 48)

In contrast, the Village’s proposal maintains its position among the Union’s list of comparable communities. The wage increases in comparable communities are similar and range from 2% to 3.25% in any given year. The average increase—for those which a date is available and do not have open contracts—in 2021 is only 2.06%, while River Grove and Summit have 1.75% and 1.0% raises, respectively, which is less than the 2.0% the Village proposes. In 2022, the average raise drops to 2.03%. In 2023, the average of the six settled contracts is 2.96%; in 2024, the average of the three settled contracts is 3.08%. Thus, the total average increase across all comparable communities is only 2.8%.

The Village considers the internal comparables—its Police and Fire Departments—the dispositive factor. Since at least 2010 the Firefighters and Police wage increases have been consistent with the Police always being slightly higher:

Year	Patrol Officers	Sergeants	Fire Department
2010	2	0	0
2011	2.5	2	1.5
2012	2.25	2.5	2
2013	2.25	2.25	2
2014	2.25	2.25	2
2015	2.25	2.25	2
2016	2	2.25	2
2017	2.25	2.25	2
2018	2.25	2.25	2.25
2019	2.25	2.25	2.25
2020	TBD	TBD	0
2021	TBD	TBD	1
2022	TBD	TBD	1
2023	TBD	TBD	—

Only twice in thirteen years has any Bargaining Unit received an increase *above* 2.25%, and that occurred for Patrol Officers in 2011 and for Sergeants in 2012, as highlighted above. Therefore, there is strong precedent for the Village's proposed 0%, 2%, 2%, and 2% wage increases.

The Village next turns to the rate of inflation. Although it acknowledges that since 2020 the cost of living has increased, it contends that in this Interest Arbitration inflation is being viewed retrospectively, and that 2021 and 2022 are outliers in relation to raises in 2018 and 2019. The Village is not a Private Sector employer that can simply pass along increases to the costs of its products or services. As previously noted, because it is not a Home Rule municipality, the Village cannot levy additional fees and/or taxes to compensate for an almost 7% cost of living increase in year 2021. While the first-year increase of the Contract is lower than the CPI, with the exception of 2022, overall the Village's wage proposal is consistent with CPI increases. (Tr. 57-59) The Federal Reserve's significant interest rate increases are slowly bringing down inflation, and the Philadelphia Federal Reserve Survey of Professional Forecasters forecasts inflation from 2022 to 2031 at the rate of 2.9%.

Given the conservative nature of Interest Arbitration, no award has been issued where wage increases exceeded the CPI. The Union's wage proposal would result in wages outpacing the CPI for the first three years of the Contract. To award higher wages than would be bargained for may ultimately harm the Village citizenry. Therefore, for all the foregoing reasons, the Village believes its wage proposal is more reasonable and should be adopted.

2. Health Insurance

Since 2010, the Police and Fire Departments have been almost entirely in lockstep with the percentage rate of health insurance contributions. The Firefighters negotiated employee premium contributions at 12.5%, 14%, 14%, and 15% for years 2020 through 2023, respectively. The Village contends the increases were not something Firefighters gave up in exchange for minimum staffing. Because of the historical parity in insurance contributions, it would be unfair for the Police to benefit from the

sacrifices made by the Firefighters. Therefore, the Arbitrator should adopt the Village's proposal to maintain parity in insurance premium contributions among its Bargaining Units.

3. Uniform Allowance

The purpose of the uniform allowance is to enable Officers to keep their equipment in good repair, not to keep up with other communities. When Chief Mills took command of the Police Department, he replaced the hybrid quartermaster/allowance system with a flat uniform allowance to promote fiscal accountability and transparency. The Village rejects the Union's proposed increase to \$900.00 and proposes instead that the status quo remain. The Union has not argued that the current uniform allowance was insufficient to meet the demands of its members. In addition, the Village considers its proposal that Officers provide receipts for their uniform expenditures is reasonable. The Union's rejection of the request shows they view the allowance merely as compensation and for which the Officers should not be held accountable. Chief Mills said that requiring Officers to provide purchase receipts will enable the Village to determine the actual cost of the Contract's uniform provision.

4. New -- Section 31.7 Health Emergencies

After the Village implemented its policy, rules, and procedures in response to COVID-19 testing and vaccinations in October 2021, the Union requested to bargain over the matter in October and November 2021. In March 2022, the Village changed its labor counsel. Between March and October 2022 the Parties had numerous conversations and met several times to bargain over the successor Contract, yet the Union never raised the issue. It was not until the October 24, 2022, mediation session that the Union first submitted a written proposal. Because the Parties have not bargained over this economic issue and presented alternative language, it would be prejudicial to both Parties for the Arbitrator to decide the issue at this time. Therefore, the Village urges the Arbitrator reject the Union's proposal.

X. DISCUSSION AND FINDINGS

A. Introduction

Because the issues of wages, health insurance premiums, annual uniform allowance, and a proposed addition of a new provision regarding testing and vaccines are all economic, my statutory obligation under Section 14(g) is to “adopt the last offer of settlement which...more nearly complies with the applicable factors prescribed in subsection (h).” The Act does not require that all factors be addressed, nor does it rank these factors in terms of their significance; it is my duty to determine which factors bear most heavily in this particular dispute. *See, City of Decatur and IAFF, Local 505*, S-MA-86-29 (Eglit, 1986) p. 3. The non-economic issue whether Officers must provide the Village with receipts of items purchased or maintained using uniform allowance monies, is left for my discretion.⁶

The Parties have not given me authority to set Officers’ salaries at rates different from the final offers, thus I am precluded by statute from fashioning a salary of my choosing. Instead, I must choose whichever proposal I find most equitable given the totality of circumstances. Arbitrator McAlpin noted that the term “most equitable” is used because, in Interest Arbitration, equity does not lie exclusively with one side or the other. *See City of Effingham and ILFOP Labor Council*, S-MA-07-151 (McAlpin, 2009) p.16; *see also U of I Champaign and ILFOP Labor Council*, S-MA-10-76 (McAlpin, 2010) p. 15., and *Village of Oakbrook and Illinois Fraternal Order of Police Labor Council*, S-MA-09-017 p. 14 (McAlpin, 2011) (“In and interest Arbitration the Arbitrator must determine not what the Parties would have agreed to, but **what they should have agreed to.**”) (Emphasis added.)

I find this case similar to what Arbitrator Marvin Hill recently faced in *Eastern Illinois University and IL FOP Labor Council*, S-MA-23-303 (Hill, 2022). In *EIU*, the Union’s final offer was a 13.5% increase over four-years (2022-2025) based primarily on the external comparables and the cost-of-living

⁶ Because the Union has agreed with the proposed language allowing Officers to purchase uniforms wherever they choose, that non-economic proposal is adopted.

factors. Conversely, the University's final offer was 5.75% over the four-year duration, but without a wage freeze in the first year as the Village proposes here. Arbitrator Hill opens his analysis referencing the Statute's restriction to adopt one of the party's final offers, and he laments that it is "especially unfortunate in this case, under the statute there is not Solomon-like "splitting of the child." Later, he begins his conclusion stating, "This case engenders a Draconian choice," one on the low and the other on the high side for the first year." Similar to *EIU*, the Union here proposes a four-year increase that is substantially larger than what the Village offers. (Although in *EIU* the union's wage proposal was more than double that of the employer.) I note that when these same Parties went before Arbitrator Fletcher in 2015, the difference between their proposals was only one-and-one-quarter percentage points with a three-year contract term, whereas here the proposals are six percentage points apart with a four-year contract term.

B. Analysis of Each Open Issue Based on the Relevant Section 14(h) Factors ⁷ and Award

1. Wages

The Union has proposed wage increases as follows:

May 1, 2020 --	2.5%
May 1, 2021 --	3.0%
May 1, 2022 --	3.25%
<u>May 1, 2023 --</u>	<u>3.25%</u>
Total	12.0%

The Employer has proposed wage increases as follows:

May 1, 2020 --	0.0%
May 1, 2021 --	2.0%
May 1, 2022 --	2.0%
<u>May 1, 2023 --</u>	<u>2.0%</u>
Total	6.0%

⁷ While I have reviewed each issue in relation to all eight statutory factors, I only discuss those herein that I considered most relevant and merited the most weight. Also, statutory factors 14(h)(1) and (2) have already been addressed by virtue of the parties' pre-hearing stipulations cited earlier.

(h)(3) *The interest and welfare of the public and the financial ability of the unit of government to meet those costs.*

The Village has not used the phrase “inability to pay” in response to the Union’s proposal. The Village, nonetheless, does insist that it has “always maintained a consistent, conservative approach to its finances” and has repeatedly emphasized the fact that because it is not a Home Rule government, its ability to increase revenues is restricted. Further, the Village asserts that its fiscal conservatism enabled it to avert any employee layoffs during the COVID-19 health crisis. Overall tax revenues have remained mostly flat. Total collections were \$16.587 million in 2020, \$16.583 million in 2021, and \$16.878 million in 2022. The Village asserts that it has given its department budgets “incremental increases” for inflationary costs without large new program expenditures or initiatives:

GENERAL FUND

	2019-2020 Actual ⁸	2020-2021 Budgeted ⁹	2021-2022 Budgeted	2022-2023 Budgeted	Percent Change 2020- 2023
Total Revenues	\$15,309,134 Variance (\$430,966)	\$16,587,664	\$16,583,664	\$16,878,348	1.8%
Total Expenditures	\$15,436,248 Variance \$96,140	\$15,430,704	\$15,908,831	\$16,244,261	5.3%
Revenues Over Expenditures	(\$334,826)	\$1,156,960	\$1,068,937	\$1,163,610	0.57%

The proposed 2020-2021 Police Department budget is \$6,551,559. Without contradiction the Union estimates the total cost of its wage proposal for the 14-member Bargaining Unit—including roll-up for payroll taxes and pension—for the first year of the Contract to be about \$32,500. Thus, for year 2020-2021 the increase to the Police Department budget would be about 0.50% while the increase to the overall General

⁸ Source: Village of Broadview independent auditor’s report pp. 80-87.

⁹ Source: Village presentation December 7, 2022, slides 5-7. See also, “Proposed Budget For May 1, 2022 Through April 30, 2023,” pp. 2, 9.

Fund expenditures budgeted would be about 0.21%. There is insufficient evidence in the record as to what hardship or harm would result to the Village citizenry from such increase to General Fund expenditures, nor is there any evidence that suggests adverse consequences to Village employees, including Police. Further, neither party provided an estimate of the total cost of the Union's wage proposal over the entire four-year period and its impact on the budget.

A key argument of the Union is the positive effect its wage proposal would have on the interest and welfare to the public by proactively addressing the excessive turnover among Patrol Officers. Since October 2021, seven Officers, all of whom were hired between 2009 and 2018, left the Village to work at other police agencies. Of the fourteen-member Bargaining Unit, as of December 5, 2022, ten members (71%) had less than five years' service, and of those ten, 40% percent had less than one year. Of the four Officers with more than five years' service, only one had more than ten years.

The Village responds that the difficulty it has recruiting and retaining officers is a problem plaguing law enforcement agencies throughout the country, and that the solutions are more complex and multi-dimensional than a simple across-the-board wage increase such as the Union proposes. I note, however, the Union testified without rebuttal that the Officers who resigned from the Village did so to work at other police agencies; there is no evidence showing that the Officers who resigned left the profession altogether. To follow is an analysis of the Union's wage proposal illustrating how it affects rankings with the complete list of comparables, as well as its percentile ranking.¹⁰

¹⁰ At this juncture I would be remiss not to acknowledge what Arbitrator Fletcher said to the Parties in his 2015 Award where he cites his 2014 decision in *City of Wheaton and IAFF, Local 3706*, S-MA-12-278, p. 23, ("Where the employees rank in any particular benefit among the comparables, both internal and external, is immaterial as a general rule. Absent a demonstrated need for some degree of 'catch up' with the comparables group the Arbitrator's focus should be on ensuring that the employees keep pace with the group. Put another way, the focus is not so much on the current value of the benefits that other in the comparable communities receive as it is on whether that value has changed.") Arbitrator Fletcher goes on to say, "The Arbitrator does not suggest that he will not take into account evidence of an existing wage gap between a particular group of employees and their counterparts in the external communities unless proof of a need for a 'catch up' in wages is shown, even in a close case. However, the weight that he will give to such evidence is minimized where it is not accompanied by evidence that the gap in wages had grown." A key distinguishing fact in the instance case from the 2015 Interest Arbitration is the issue of severe turnover, vis-à-vis the ranking of more senior officers against comparable communities, was not as problematic as in 2022 and thus not discussed by Arbitrator Fletcher.

CONTRACT YEAR and Percent Increase	1-4 YEARS (Percentile Ranking)	5-9 YEARS	10-14 YEARS	15-19 YEARS	20-24 YEARS	25+ YEARS
2020 (0%) Baseline	5th of 11 (55%)	4th of 11 (64%)	7th of 11 (36%)	9th of 11 (18%)	9th of 11 (18%)	8th of 11 (27%)
2020 (2.5%) Year 1	4 th of 11 (64%)	4 th of 11 (64%)	6 th of 11 (45%)	7 th of 11 (36%)	8 th of 11 (27%)	8 th of 11 (27%)
2021 (3.0%) Year 2	4 th of 9 (56%)	3 rd of 9 (67%)	5 th of 9 (44%)	6 th of 9 (33%)	7 th of 9 (22%)	7 th of 9 (22%)
2022 (3.25%) Year 3	4 th of 8 (50%)	2 nd of 8 (75%)	4 th of 8 (50%)	4 th of 8 (50%)	6 th of 8 (25%)	6 th of 8 (25%)
2023 (3.25%) Year 4	3 rd of 6 (50%)	2 nd of 6 (67%)	3 rd of 6 (50%)	3 rd of 6 (50%)	4 th of 6 (33%)	4 th of 6 (33%)

Comparing the rankings based upon the wage schedule in the current Contract against the rankings under the Union's proposal, I find significant that most of the time the change in ranking is modest. The notable exceptions are officers with 5 to 9 years' service who currently are at the 64th percentile would rise to the 75th percentile in 2022, and officers with 15 to 19 years who currently are down at the 18th percentile would rise to the 50th percentile in 2023. There are four instances when the percentile ranking *drops* slightly from the baseline, those being Officers with 1 to 4 years in 2022 and 2023, and Officers with 25 or more years in 2021 and 2022. In general, while the Union's proposal gives the greatest boost in rankings to Officers with 15 to 24 years of service, the boost never puts them beyond the 50th percentile among the comparables with settled contracts. I find that maintaining a ranking at the 50th percentile to be a reasonable outcome.

While I agree with the Village that it is speculative as to whether across-the-board raises for officers as the union proposes would have a positive impact on turnover, I do not consider that dispositive. Although both Parties' make logical and cogent arguments supported by well-established arbitral doctrine, I find factor (h)(3) on balance slightly favors the Union's proposal.

(Intentionally Left Blank)

(h)(4) Comparables.

a. External Comparables

As noted earlier in Section VII, the Parties do not agree on a single group of comparables. It is well established that if the parties cannot reach agreement as to the basis of comparison, it is the arbitrator's responsibility to make that determination from the facts and circumstances of the case. *How Arbitration Works*, 8th ed. 22-38 (Bloomberg BNA. 2016). Therefore, for the sake of completeness, I evaluate the wage parties' proposals against the external comparables using four distinct groupings. The first analysis combines both the Union's and Village's proposed comparables for this Interest Arbitration. The second analysis uses only the Village's proposed list. The third analysis is based on what Arbitrators Cox and Fletcher used in 2007 and 2015, respectively, and I refer to as the "Historical" comparable. Last, I compare the proposals only with the two municipalities that are also not Home Rule, given the significance the Village has placed on that characteristic. I then provide a summary in which I compare all four groupings together.

(Intentionally Left Blank)

1. Union and Village Comparables **Combined**

MUNICIPALITY ¹¹				
Home Rule? (Y/N)	2020-2021	2021-2022	2022-2023	2023-2024
Bellwood (Y) Contract year runs January 1 to December 31	NA	NA	3.25%	3.25%
Countryside (Y)	2.75%	2.75%	3.5%	3.0% 1/12/24-12/31/24
Harwood Heights (Y)	2.25%	2.25%	2.25%	---
Hillside (Y)	2.0%	3.0%	---	---
Lyons (N) Contract year runs January 1 to December 31	2.0%	2.5%	2.5%	2.5%
Northlake (Y) Contract year runs January 1 to December 31	3.25%	---	---	---
North Riverside (N)	2.5%	3.25%	3.5%	3.25%
River Grove (Y) Contract runs May 1, 2020 to December 31, 2024	3.6%	1.75%	2.75%	3.0%
Schiller Park (Y)	2.0%	2.5%	3.0%	---
Stickney (Y)	2.5%	2.5%	2.5%	3.0%
Summit (Y) Contract year runs January 1 to December 31	3.0%	1.0%	2.5%	3.0%
Average ¹²	2.59%	2.39%	2.86%	3.0%
Union Proposal (+/- Ave)	2.5% (-0.09%)	3.0% (+0.61%)	3.25% (+0.39%)	3.25% (+0.25%)
Village Proposal (+/- Ave)	0% (-2.59%)	2.0% (-0.39%)	2.0% (-0.86%)	2.0% (-1.0%)

¹¹ Hereinafter, all contract dates are from May 1 through April 30 unless noted otherwise.

¹² Hereinafter, calculations are based on May 1 through April 30 contract year. However, calculations for Bellwood and Summit use the percentage increase from 2023 and do not adjust for the change in wage rates for the four-month period January 1 through April 30, 2024.

Summary:

Comparables - Four Year Total of (Average) Percentage Increases: **10.84%**

Comparables - Average of Annual Percentage Increases: **2.71%**

Union Four Year Total: **12%** Average Per Year: **3.0%**

Village Four Year Total: **6.0%** Average Per Year: **1.5%**

Union - Percent Difference from Comparables: Total: **+2.84%** Average Per Year: **+0.29%**

Village - Percent Difference from Comparables: Total: **-4.84%** Average Per Year: **-1.21%**

(Intentionally Left Blank)

2. Only Comparables **Proposed by the Village:**

MUNICIPALITY Home Rule? (Y/N)	2020-2021	2021-2022	2022-2023	2023-2024
Bellwood (Y)	NA	NA	3.25% 1/1/22- 12/31/22	3.25% 1/1/23- 12/31/23 3.0% 1/12/24- 12/31/24
Hillside (Y)	2.0%	3.0%	---	---
Northlake (Y)	3.25%	---	---	---
North Riverside (N)	2.5%	3.25%	3.5%	3.25%
River Grove (Y)	3.6%	1.75%	2.75%	3.0%
Schiller Park (Y)	2.0%	2.5%	3.0%	---
Average	2.67%	2.63%	3.23%	3.17%
Union Proposal (+/- Ave)	2.5% (-0.17%)	3.0% (+0.37%)	3.25% (+0.02%)	3.25% (+0.08%)
Village Proposal (+/- Ave)	0% (-2.59%)	2.0% (-0.63%)	2.0% (-1.23%)	2.0% (-1.7%)

Summary:

Comparables - Four Year Total of (Average) Percentage Increases: **11.70%**

Comparables - Average of Annual Percentage Increases: **2.93%**

Union Four Year Total: **12%** Average Per Year: **3.0%**

Village Four Year Total: **6.0%** Average Per Year: **1.5%**

Union - Percent Difference from Comparables: Total: **+0.30%** Average Per Year: **+0.07%**

Village - Percent Difference from Comparables: Total: **-5.70%** Average Per Year: **-1.43%**

3. **Historical Comparables** from the Parties' 2007 and 2015 Interest Arbitrations:

MUNICIPALITY				
Home Rule? (Y/N)	2020-2021	2021-2022	2022-2023	2023-2024
Countryside (Y)	2.75%	2.75%	3.5%	3.0%
Hillside (Y)	2.0%	3.0%	---	---
Lyons (N)	2.0%	2.5%	2.5%	2.5%
Northlake (Y)	3.25%	---	---	---
North Riverside (N)	2.5%	3.25%	3.5%	3.25%
River Grove (Y)	3.6%	1.75%	2.75%	3.0%
Schiller Park (Y)	2.0%	2.5%	3.0%	---
Average	2.59%	2.63%	3.05%	2.93%
Union Proposal (+/- Ave)	2.5% (-0.09%)	3.0% (+0.37%)	3.25% (+0.20%)	3.25% (+0.32%)
Village Proposal (+/- Ave)	0% (-2.59%)	2.0% (-0.63%)	2.0% (-1.05%)	2.0% (-0.93%)

Summary:

Comparables - Four Year Total of (Average) Percentage Increases: **11.20%**

Comparables - Average of Annual Percentage Increases: **2.8%**

Union Four Year Total: **12%** Average Per Year: **3.0%**

Village Four Year Total: **6.0%** Average Per Year: **1.5%**

Union – Percent Difference from Comparables: Total: **+0.80%** Average Per Year: **+0.2%**

Village – Percent Difference from Comparables: Total: **-5.20%** Average Per Year: **-1.30%**

4. Municipalities that **Do Not Have Home Rule:**

MUNICIPALITY	2020-2021	2021-2022	2022-2023	2023-2024
Lyons	2.0%	2.5%	2.5%	2.5%
North Riverside	2.5%	3.25%	3.5%	3.25%
Average	2.25%	2.88%	3.00%	2.88%
Union Proposal (+/- Ave)	2.5% (+0.25%)	3.0% (+0.12%)	3.25% (+0.25%)	3.25% (+0.37%)
Village Proposal (+/- Ave)	0% (-2.25%)	2.0% (-0.88%)	2.0% (-1.0%)	2.0% (-1.88%)

Summary:

Comparables - Four Year Total of (Average) Percentage Increases: **11.01%**

Comparables - Average of Annual Percentage Increases: **2.75%**

Union Four Year Total: **12%** Average Per Year: **3.0%**

Village Four Year Total: **6.0%** Average Per Year: **1.5%**

Union – Percent Difference from Comparables: Total: **+0.99%** Average Per Year: **+0.25%**

Village – Percent Difference from Comparables: Total: **-5.01%** Average Per Year: **-1.25%**

(Intentionally Left Blank)

The analysis of the four comparables groupings above can be **summarized** as follows:

COMPARABLE LIST UTILIZED	AVERAGE TOTAL 4-YEAR INCREASE	AVERAGE INCREASE PER YEAR
Union & Village Combined	10.840%	2.71%
Village Only	11.70%	2.93%
“Historical” (used in 2007 and 2015)	11.20%	2.80%
No Home Rule Municipalities	11.01%	2.75%
Overall Average	11.19%	2.80%
Union Proposal (+/- Ave)	12.00% (+0.81%)	3.00% (+0.20%)
Village Proposal (+/- Ave)	6.00% (-5.19%)	2.0% (-0.80%)

I recognize that there is less data available as you look out to the third and fourth years because there are more open contracts. Nonetheless, as the above analysis shows, no matter whether you use the Union and Village’s external comparables in combination, the Village’s comparables alone, the historical comparables from prior Interest Arbitrations, or isolate the two communities that also do not have Home Rule, the Union’s wage proposal is proportionately closer to the average of the external comparables, albeit slightly above, than the Village’s wage proposal which is farther below the average.

After careful review of the data from the perspective of all four comparables groupings, I find the external component of factor (h)(4) favors the Union’s proposal.

b. Internal Comparables

The importance of internal comparables is long-held arbitral doctrine, as Arbitrator Bierig opined in *Village of Oak Lawn*:

I note that internal comparables are a significant factor when reviewing public safety units. Interest Arbitrators place emphasis on the internal comparability factor:

An internal pattern satisfies the statutory aim of duplicating, as nearly as possible, what the results of voluntary settlement would have been. Further, sound labor relations policy dictates adherence to internal patters, since breaking a pattern through the arbitration process will tend to discourage voluntary settlements and lead to dissension within the workforce. In short, there is a very strong presumption in favor of an offer

which is consistent with the settlements reached through bargaining with other City units.

City of Marshfield, Decision No. 25298-A, p.15 (Nielsen, 1988).

Village of Oak Lawn and Oak Lawn Professional Firefighters Assoc., Local 3405, IAFF, S-MA-16-015, p. 59-60 (Bierig, 2017),

Here, the Village places great emphasis on the historic relationship between the Police (both the Patrol Officers and Sergeants Bargaining Units) and Fire Departments, not only in terms of wage increase, but also in terms of employee health insurance contributions (the latter I address *infra*). For the current Interest Arbitration the Sergeants contract is open, so the only internal comparison is the instant Union and Fire Department. This is in stark contrast to 2015 when the comparability between Patrol Officers and Sergeants was a key factor for Arbitrator Fletcher. The historical wage relationship between Patrol Officers and Fire in the record is as follows:

Year	Patrol Officers	Fire Department
2010-2011	2	0
2011-2012	2.5	1.5
2012-2013	2.25	2
2013-2014	2.25	2
2014-2015	2.25	2
2015-2015	2.25	2
2016-2017	2	2
2017-2018	2.25	2
2018-2019	2.25	2.25
2019-2020	2.25	2.25
2020-2021	—	0
2021-2022	—	1
2022-2023	—	1
2023-2024	—	—

With the exception of years 2010 and 2011 highlighted above, Patrol Officers' raises have not been more than 0.25% above the Fire Department, and in years 2016, 2018, and 2019 they were identical. On the surface the data strongly favors the internal comparable and the Village's position.

However, the *very strong presumption in favor of an offer which is consistent with the settlements reached through bargaining with other City units*, established by Arbitrator Nielsen in 1988, becomes questionable should one of the parties negotiate substantive change to their contract which has direct or indirect ramifications to its internal comparable. In this instance the Village and Fire Department negotiated an inaugural minimum staffing provision in the current three-year contract (2020-2022).

The new **Section 26.11 Minimum Shift Staffing provision** states as follows:

The parties agree that a sufficient number of personnel shall be assigned to each shift for the health and safety of the public and bargaining unit member. To that end, there shall always be a minimum of five (5) bargaining unit members assigned to each shift. The Village shall maintain at all times one (1) three-member Engine Company, and one (1) two-member ALS ambulance. When the daily staffing is at or above seven (7) line personnel, as long as the Engine is sufficiently staffed with three (3) members and one Officer (Captain or Lieutenant), one member can staff another apparatus as needed and respond appropriately.

In the public sector I find that minimum staffing is a critical element for Firefighters, and such language is often a staple in Firefighter contracts. The Union estimated the total annual cost to the Village will be \$100,000, even if it only requires adding one firefighter. The Union makes a logical and compelling argument that this coveted provision, which had not existed in the Village's contract prior to 2020, was worth the quid pro quo to concede (or propose) a 0%, 1%, 1% three-year wage increase package. The Village neither denied nor conceded that minimum staffing was the quid pro quo for the Firefighters to have a wage freeze in 2020, followed by successive 1% wage increases in 2021 and 2022.

Because the Union's cost estimation of \$100,000 per year for Firefighter minimum staffing stands uncontested, I find this provision to be substantive change sufficient to break the presumption of comparability between the Patrol Officers' and Firefighters' annual wage increases. The presumption of

comparability is further contradicted by the Village's proposed May 1, 2022, through April 30, 2023, budget:

Personal [sic] Services Line Item	Budget FY21	Budget FY22	Budget FY23	Percent Change FY21-FY23
5156 Firefighters	\$1,403,423	\$1,461,235	\$1,594,021	+ 13.6%
5140 Patrolmen	\$1,818,841	\$1,861,254	\$1,701,255	- 6.5%

The data shows the Village budgeted a significant increase in Firefighters' personnel expense yet reduced the budget for Patrolmen over the comparable three-year period. When the circumstances are viewed in totality, I find the Union's argument that the 0%, 1%, 1% wage package negotiated into the Firefighters' contract was the quid pro to secure an inaugural minimum staffing provision plausible, reasonable, and compelling. In contrast, the Village's assertion that the wage concessions had nothing to do with the new minimum staffing language but was simply a product of the Village and Firefighters' union working together in order to get through the financial uncertainty of pandemic due to the pandemic is unconvincing.

After careful review of the data, I find that the internal comparable component favors the Union's wage proposal. The historical pattern of comparability in wage increases between the Firefighters and Patrol Officers has been disrupted by a substantive change in the current Firefighters contract with direct and indirect implications for Patrolmen. The presumption of consistency between internal comparable units is not applicable in this contract cycle. Thus, both the external and internal components of factor (h)(4) favor the Union's wage proposal.

(h)(5) *The Cost of Living.*

It is not surprising that the Union and Village differ on what the rate of inflation has been as well as the overall weight to give it. I note this difference of opinion stems from which CPI-U (all urban consumers) index is used for analysis, and how the annual percentage change in the rate of inflation is

calculated.¹³ The Village uses the CPI-U Midwest index, whereas the Union uses the CPI-U (national) U.S. City Average urban index. Coincidentally, neither uses the CPI-U for Chicago-Naperville-Elgin, IL-IN-WI index, which in this instance yields the most conservative percentage changes. The Village argues that to adopt the Union’s wage proposal would result in wages that outpace inflation in the first three years of the Contract with no prospective offset. As the historical data below shows, between contract years 2010-2011 and 2019-2020 (the one-year predecessor Agreement to this interest arbitration), on only two

YEAR (Percent Increase)	CPI-U ¹⁴ All Urban Consumers U.S. City Average	CPI-U All Urban Consumers Midwest	CPI-U All Urban Consumers Chicago-Naperville- Elgin, IL-IN-WI
2010-2011 (2.0%)	3.8%	3.4%	2.7%
2011-2012 (2.5%)	1.8%	1.6%	1.1%
2012-2013 (2.25%)	1.2%	1.3%	1.0%
2013-2014 (2.25%)	1.8%	1.4%	1.9%
2014-2015 (2.25%)	- 0.5%	- 1.2%	- 0.8%
2015-2016 (2.25%)	0.6%	0.4%	0.3%
2016-2017 (2.0%)	1.8%	1.4%	1.7%
2017-2018 (2.25%)	2.4%	1.8%	1.9%
2018-2019 (2.25%)	1.6%	1.0%	0.3%
2019-2020 (2.25%)	0.1%	- 0.7%	- 0.6%
2020-2021	4.1%	4.6%	3.6%
2021-2022	7.4%	7.2%	6.2%
2022- Jan. 2023 ¹⁵	2.4%	1.7%	1.0%
2023-2024	-----	-----	-----

¹³ For a thorough analysis of the Bureau of Labor Statistics CPI data and its application in Interest Arbitration, see *Village of Lansing and IL FOP*, S-MA-12-214, footnote 27 at pp. 18-19 (Benn, 2014). Calculations are based on May 1 through April 30 contract year. Therefore, calculations for Bellwood and Summit use the percentage increase from 2023 and do not adjust for the change in wage rates for the four-month period January 1 through April 30, 2024.

¹⁴ To calculate the percentage change in each CPI index, I followed the methodology Arbitrator Benn employed in *Village of Lansing*, which provides a more accurate annual percentage change. Thus, rather than simply comparing April-to-April or May-to-May percentages (which the BLS website can automatically calculate), Arbitrator Benn calculated the CPI change based on the contract year itself. In *Village of Lansing*, the contract years were the same as the Parties here: May 1 to April 30, next year. Therefore, expressed as a formula, if the index value for May 1 is “x”, and the index value of April 30 of the following year is “y,” under Arbitrator Benn’s method, annual percentage CPI change for the contract year is $((y - x) / x) * 100 = z \%$.

¹⁵ As of this writing, there is no published BLS index data beyond January 2023.

occasions (highlighted contract years 2010-2011 and 2017-2018) has the wage increase been *below* the national inflation rate for the same period.

The following table compares the Parties' **final offers** against the known and most recent forecast percentage rates of inflation for each of the three CPI-U indexes mentioned above:

	5/20-4/21 Actual	5/21-4/22 Actual	5/22-1/23 Actual ¹⁶	5/23-4/24 Forecast ¹⁷	Total	Ave/Year
U.S. City	4.1%	7.4%	2.4%	2.9%	16.8%	4.2%
(Midwest)	(4.6%)	(7.2%)	(1.7%)	2.9%	(16.4%)	(4.1%)
[Chicagoland]	[3.6%]	[6.2%]	[1.0%]	2.9%	[13.7%]	[3.4%]
Union Final Offer	2.5%	3.0%	3.25%	3.25%	12.0%	3.0%
Δ with CPI	-1.6%	-4.4%	+0.85%	+0.4%	-4.9%	-1.23%
	(-2.1%)	(-4.2%)	(+0.9%)	(+0.4%)	(-5.0%)	(-1.25%)
	[-1.1]	[- 3.2%]	[+ 2.25%]	[+ 0.4%]	[- 1.65]	[-0.4%]
Village Final Offer	0.0%	2.0%	2.0%	2.0%	6.0%	1.5%
Δ with CPI	-4.1%	-5.4%	-0.4%	-0.9%	-10.8%	-0.48%
	(-4.6%)	(-5.2%)	(+0.3%)	(- 0.9%)	(-10.4%)	(-2.6%)
	[- 3.6%]	[- 4.2%]	[+1.0%]	[- 0.9%]	[- 7.7%]	[-1.9%]

Arbitrator Bierig has observed that since 2008 Illinois arbitrators have recognized the significance of cost-of-living data in wage analysis for purposes of Interest Arbitration. *See Village of Oak Lawn and Oak Lawn Professional Firefighters Assoc., Local 3405, IAFF, S-MA-16-015, 16-0131, p.61 (Bierig, 2017).* It is generally accepted by arbitrators that when both parties' proposals exceed the CPI, the offer

¹⁶ *Id.*, footnote 16.

¹⁷ The 2023-2024 contract year CPI forecast is an average of the Philadelphia Federal Reserve Survey's most recent forecast (published February 10, 2023) for the year 2023 plus its first quarter 2024 forecast. Calculation: $(3.1 + 2.6)/2 = 2.9$. See [First Quarter 2023 Survey of Professional Forecasters \(philadelphiafed.org\)](https://www.philadelphiafed.org/publications/survey-of-professional-forecasters).

closest to the CPI should carry the day. *Id.*, p. 62, citing *City of Burbank*, S-MA-97-56, pp. 9-11 (Goldstein, 1998); *see also County of McHenry and ILFOP Labor Council*, S-MA-11-004, p. 131 (Benn, 2012).

In this instance, however, the Union's proposal exceeds the CPI-U prospectively in the third and fourth years, and by varying amounts depending on which of the three indexes is used as a basis. Even the Village's proposal in year three *exceeds* the CPI-U depending on the index used. However, when the proposals are viewed in totality over the entire four years, neither the Union's nor the Village's proposal exceeds the known and forecasted rates of inflation, even when the proposals are held up against the Chicagoland index—which as mentioned is the most conservative of the three and the one neither Party used in its analysis. What cannot be disputed is that regardless of the index, the Union's proposal is closer to the CPI-U over the four-year duration than is the Village's proposal.

Last, as previously explained, because the Parties' proposed four-year Agreement would end April 30, 2024, I relied upon the CPI forecast by the often-cited Philadelphia Federal Reserve Survey of Professional Forecasters to fill in the gap. *See, e.g., City of Mt. Vernon and ILFOP Labor Council*, S-MA-16-198 (Nielsen, 2017) p.13; *County of Cook/Cook County Sheriff and ILFOP Labor Council*, L-MA-13-003 (Reynolds, 2015) p. 20; *City of Rock Island and ILFOP Labor Council – Command Officers*, S-MA-11-183 (Benn, 2013) p.15 at footnote 29. As of February 10, 2023, the Philadelphia Federal Reserve Survey revised its 2023 Headline CPI forecast down to 3.1 from its prior forecast 3.4. Notably its long-range annual average forecast for the period 2022 through 2026 remains at 3.75. The Village argues that the more appropriate long-term annual average forecast is the Survey's 2022-2031 10-year forecast which as of February 10, 2023, is 2.95%. However, the 10-year time frame logically smooths out the curve and is less sensitive to the fluctuations during the period May 1, 2020, through April 30, 2024, when the new Contract would be in effect. Also, the farther out in time the forecast is made, the less reliable it becomes as a forecasting tool. Therefore, I find the 2022-2026 long-range forecast more applicable in this instance.

In this case, with the exception of the remaining portion of Contract Year 3 and all of Year 4, the economic landscape is known and in the rear-view mirror. Given the analysis above, I find that factor (h)(5) on balance favors the Union's final offer.

(h)(6) Overall compensation.

Because one of the issues before me concerns the percentage contribution to the Village's health insurance premium by Bargaining Unit member, I address this subject later. However, with regard to its impact on the issue of evaluating the two wage proposals, I find factor (h)(6) is, on balance, neutral.

(h)(7) Changes during the pendency of the arbitration proceedings.

This factor was not determinative.

(h)(8) Other factors normally or traditionally taken into consideration.

This factor was not determinative.

Award on the Issue of Wages – Section 30.1 Base Salary

As noted earlier because this is an economic issue, I am required by statute to adopt either the Union's or the Village's final offer and cannot craft an award of my own, which I might find to be the most appropriate given the evidence in its totality. Nonetheless, I find that the analysis of the relevant Section 14(h) factors on balance favors the Union's wage proposal which I adopt.

2. Health Insurance

The Union has proposed the status quo and that there be no change to the current percentage of contribution by employees as follows:

May 1, 2020 -- 12.5%
May 1, 2021 -- 12.5%
May 1, 2022 -- 12.5%
May 1, 2023 -- 12.5%

The Employer has proposed increases to the following percentage contributions:

May 1, 2020 -- 12.5%
May 1, 2021 -- 14.0%
May 1, 2022 -- 14.0%
May 1, 2023 -- 15.0%

(h)(3) *The interest and welfare of the public and the financial ability of the unit of government to meet those costs.*

Because the analysis of the wage proposals applies to the proposal on health insurance contribution, I do not repeat it here. Based on the totality of the evidence, factor (h)(3) by itself favors neither the Union's nor the Village's proposal.

(h)(4) *Comparables*

a. External

The table that follows shows what percentage contribution police officers in comparable communities pay toward health insurance premiums:

(Intentionally Left Blank)

MUNICIPALITY¹⁸	Contract Period	Percent Contribution
Bellwood	2022-2024	10%
Countryside	2019-2022 2022-2025	15% 15%
Harwood Heights	2020-2023	15%
Hillside	2019-2022	Not Percentage Based
Lyons	2019-2023	15% PPO 10% HMO
Northlake	2017-2020	15% With any increase not to exceed \$350/Month single or \$500/month dependent
North Riverside	2016 2017 2018 2019-2021 2022 2023	13.25% 14% 14.75% 15% 16% 17%
River Grove	2020-2024	Not Percentage Based
Schiller Park	2020 2021 2022	10% PPO - 0% HMO 11% PPO - 0% HMO 12% PPO - 0% HMO
Stickney	2018-2022 2022-2024	15% Maximum 15% Maximum
Summit	2017-2020 2021-2024	10% 10%
Broadview (Village's Proposal)	2020-2021 2021-2022 2022-2023 2023-2024	12.5% 14.0% 14.0% 15.0%

The evidence shows that of the eleven communities only Hillside and River Grove do not calculate employee contributions to health insurance premium using a fixed percentage. Of the nine that use a

¹⁸ For completeness, I use the **Combined** comparables grouping explained earlier.

percentage basis contribution, only Bellwood, Schiller Park, and Summit Police Officers pay premiums less than 15%. Thus, six of the nine communities which use a percentage-based contribution method (67%), currently pay 15%. In the case of North Riverside, the Police Officers currently pay 16%, which will increase to 17% on May 1, 2023.

Earlier, I gave considerable weight to the comparable communities in the analysis of the Parties' proposal on wages. I would be inconsistent by not giving them the same weight now on the issue of health insurance premium contribution. The Union's arguments that (1) there was a lack of financial information about health insurance costs in the Village's presentation, and (2) the Village offered no proof of how many Bargaining Unit members use the Village's plan for their health insurance, are unpersuasive. The Union cannot cite the external comparables to support its wage proposal and ignore them when they support the Village's health insurance contribution proposal.

b. Internal

The Village's principal argument turns on the historical parity between its Police and Fire Departments. With the exception of 2011 and 2014, each Bargaining Unit member has contributed the same premium percentage. From 2015 through 2019, the premium contribution has held at 12.5%. In the Firefighters' new three-year contract, the rate increased to 14% on May 1, 2020, and then to 15% on May 1, 2022, and continues through to its expiration on April 30, 2023. The Union contends that the increased insurance rates and the wage increases are all part of the quid pro quo to get minimum staffing. The Union further asserts that not only has the Village provided no data on the cost of its health insurance to justify the proposed increase, but it has also not shown that Bargaining Unit members have, in fact, opted into the Village's health insurance.

I note that although the budget year ending April 30, 2020, shows a negative variance for the Police Department employee health care benefit plan, the Village provides no explanation. Also, there was no

testimony or evidence presented on the Village's recent health care benefit claims experience and its impact on the premium. Therefore, I find the internal component of the comparables neutral.

Although the internal comparable is neutral, the fact remains that two-thirds of the comparable communities have premium contribution rates at or above what the Village has proposed. Therefore, I find factor (h)(4) on balance favors the Village's proposal.

(h)(5) *The Cost of Living*

The same cost of living analysis that I applied to the issue of wages equally applies to the percentage contribution for health insurance premiums. As noted, the Village proposes the status quo (12.5%) for the first year of the new Contract followed by an increase to 14% for years two and three. Beginning year four, the Village proposes an increase to 15%. However, the percentage premium contribution rate is partially offset by the increase in wages which I have adopted. Therefore, I find factor (h)(5) neutral.

(h)(6) *Overall compensation*

Because the health insurance benefit is part of the members' overall compensation, no separate analysis is needed for this factor.

(h)(7) *Changes during the pendency of the arbitration proceedings.*

This factor was not determinative.

(h)(8) *Other factors normally or traditionally taken into consideration.*

This factor was not determinative.

Award on the Issue of Health Insurance – Section 24.5 Employee Contribution

Based on the analysis, the relevant Section 14(h) factors on balance favor the Village's proposal which I adopt.

(Intentionally Left Blank)

3. Clothing, Maintenance, and Special Equipment Allowance (Section 29.2)

The Union's proposals are as follows:

Economic

- Increase the annual allowance for the purchase and maintenance of clothing and special equipment to nine hundred dollars (\$900.00) from the previous seven hundred thirty dollars (\$730.00).

Non-Economic

- The Union does not object to the Village's proposal to include language that allows an officer to purchase uniforms wherever the officer chooses.
- The Union proposes the status quo and objects to the Village's proposal that the Officer must produce receipts for uniforms purchased.

The Village's proposals are as follows:

Economic

- Maintain the status quo on the annual uniform allowance at \$730.00.

Non-Economic

- Insert new language into Section 29.2 what states the following:
 - "An Officer may purchases uniforms wherever the Officer chooses."
 - "Officers must produce receipts for uniform purchases."

(The two non-economic proposals will be addressed separately.)

(h)(3) *The interest and welfare of the public and the financial ability of the unit of government to meet those costs.*

Since at least 1999, the Parties' Contract has provided an annual allowance for the purchase and maintenance of clothing and special equipment. Since May 1, 2012, the allowance has remained at \$730.00. In February 2013, the then Chief of Police supplemented the uniform allowance with a Quartermaster system where the Village provided required uniforms and equipment and replaced them when they become unserviceable at no cost to the officer.

This hybrid Quartermaster/uniform allowance system remained unchanged until the Village appointed a new Chief of Police, Thomas Mills, who cancelled the Quartermaster system as of March 4, 2022, and left the contractual \$730.00 uniform allowance intact. Chief Mills testified that he took that action in order to promote fiscal accountability and transparency. Chief Mills said further that he believes the current \$730.00 allowance, standing alone, is sufficient to meet the officers' needs, but he provided no supporting evidence. In addition, Chief Mills said that the proposed new language requiring Officers to provide purchase receipts will enable the Department to analyze data to determine the actual cost of the Contract's uniform provision. There was no testimony or documentary evidence presented as to what the Quartermaster system had cost the Village.

The difference between the Parties' proposals is \$170.00 per Officer. Considering that there are 14 members in the Bargaining Unit, this amounts to a marginal annual cost increase of \$2,380 which is de minimis. Given that the Quartermaster system has been eliminated, I find an allowance of \$900.00 per year reasonable. Therefore, I find factor (h)(3) on balance favors the Union's proposal.

(h)(4) Comparables

Because there is no internal comparable data, the analysis focuses on the external communities. A summary of the known data as of this writing is as follows:

(Intentionally Left Blank)

MUNICIPALITY¹⁹	Contract Period	Uniform Allowance
Bellwood	2022-2024	Flat \$950/year + \$850 every five years for bullet-proof vest
Countryside	2019-2022 2022-2025	Quartermaster System plus \$200/year for “leather equipment, footwear, and weapons”
Harwood Heights	2020-2023	Flat \$900/year
Hillside	2019-2022	Quartermaster System only
Lyons	2019-2023	Quartermaster System plus \$200/year for equipment and maintenance
Northlake	2017-2020	Flat \$850/year with replacement at no charge if damaged in the line of duty subject to Chief of Police’s approval
North Riverside	2016 2017 2018 2019-2021 2022 2023	All years: Flat \$1,100/year, with no-cost repair/replacement if in normal course of employment, subject to approval
River Grove	2020-2024	Flat \$1,800/year
Schiller Park	2020-2023	Flat \$875/year + \$250 for NIPAS and \$100 for specialty assignments
Stickney	2018-2024	Flat \$800/year with no-cost replacement under specified conditions
Summit	2017-2020 2021-2024	Voucher system up to \$1,050 for purchase subject to review; payment made to vendor after approval of purchase requisition. May carryover up to \$200 following year. Flat \$1,050 with no qualifying language

Of the eleven comparable communities, the Village ranks last with the elimination of the Quartermaster system. The Village’s **current \$730.00** flat allowance comes closest to Stickney which has a flat \$800.00 allowance, but provides for conditional no-cost replacement. In contrast, the instant Contract has no replacement language. The next community closest to the Village’s current allowance is Schiller Park which provides a flat \$875.00 annually, but it also gives an extra \$250 or \$100 for specific

¹⁹ *Id.*, footnote 18.

assignments. Of the three communities that use a Quartermaster system—County, Hillside, and Lyons—only Lyons does not provide a \$200.00 supplement.

Therefore, based on the evidence, I find factor (h)(4) on balance favors the Union’s proposal.

(h)(5) *The Cost of Living*

The same analysis of the cost of living used for the issue of wages also applies equally to the uniform allowance. Based on the BLS Inflation Calculator, between May 2012 and April 2020, when the predecessor Contract expired, the buying power of the \$730.00 allowance was \$814 in April 2021, \$848 in April 2022, and \$950 in January 2023, which is the most current data published by the BLS.

Therefore, I find factor (h)(5) on balance favors the Union’s proposal.

(h)(6) *Overall compensation*

Because the uniform allowance is part of the members’ overall compensation, it is the issue itself and thus addressed in the Award.

(h)(7) *Changes during the pendency of the arbitration proceedings.*

This factor was not determinative.

(h)(8) *Other factors normally or traditionally taken into consideration.*

This factor was not determinative.

**Award on the Issue of the Amount of Annual Uniform Allowance (Economic)
and Additional Language (Non-Economic)**

Based on the analysis and given that the Department had discontinued the Quartermaster system, the Section 14(h) factors favor the Union’s proposal which I adopt.

Language Additions to Section 29.2 (Non-Economic Proposal)

The Village has proposed the following sentences be added to Section 29.2 :

- “An Officer may purchases uniforms wherever the Officer chooses.”
- “Officers must produce receipts for uniform purchases.”

As previously noted, the Union has no objection to the first sentence and, therefore, it is adopted.

Regarding its proposal to require officers to produce receipts for uniform purchases, the Village considers this reasonable. Further, the Village contends that the Union's rejection of the proposal shows it views the allowance merely as compensation for which the Officers should not be held accountable.

In contrast, the Union characterizes a requirement to have officers provide receipts for uniform purchases as a "breakthrough" proposal, and as such argues that the Arbitrator should apply the established standard which requires proof that the current system does not work or was creating operational hardships for the party proposing the change and the opposite party was resisting the change. It adds that the Village had not provided proof that the old system was broken and that it was suffering operational hardship that required relief. It also suggests that requiring officers to provide uniform purchase receipts will only serve to make the current system more cumbersome.

Arbitrator Bierig has held that when a proposal at interest arbitration concerns a relatively minor change in the status quo it requires a lower burden of proof. Conversely, where the requested change seeks to create an entirely new or a significant change in a benefit or procedure, Arbitrators apply a higher standard, the breakthrough analysis, before the Section 14(h) factors are considered. It is well known that the party seeking to change an existing provision bears the burden of proving a need for the change. See *The Village of Lake Bluff and The Illinois Fraternal Order of Police Labor Council*, S-MA-16-123, p. 36 (Bierig, 2018).

I have reviewed the record and find that the Village's proposal that Officers must produce receipts for a uniform purchase is a minor change. Thus, it requires a lower burden of proof that the change is justified and does not rise to a level that requires me to apply the seminal three-pronged test established in *Will County Board and Sherriff of Will County*, S-MA-88-09, p. 52 (Nathan, 1988). Nevertheless, despite the lower burden of proof I find the Village has not met its burden. Chief Mills testified that the purpose is to increase transparency, accountability, and to enable the Village to perform data analysis to determine the cost of the Contract's uniform provision. However, the Village presented no evidence to show there had

been any problems with the administration of the uniform allowance thus far to warrant any change to the process.

Therefore, I adopt the Union's proposal to retain the status quo and to not include any new language requiring officers to provide the Village with receipts for uniform purchases.

4. New Section 31.7 Health Emergencies (Economic)

The Union's proposal is to create a *new* Section 31.7 Health Emergencies in Article XXXI to read as follows:

"The Employer will pay the employees' out-of-pocket costs for vaccinations and/or disease testing it mandates."

The Village proposes the status quo remain and that there be no *new* provision.

During the COVID-19 pandemic emergency, the Village implemented policies and procedures which included mandatory vaccinations and testing. In October 2021, the Union contacted the Village's then-outside counsel/chief negotiator to demand effects bargaining over the mandatory vaccine and testing policy. This occurred while the Parties were engaged in bargaining for a successor Contract. The Union and Village negotiators exchanged several emails between October 12, 2021, and November 5, 2021, in which the Union repeatedly demanded bargaining.

In March 2022, the Village changed outside counsel and a new chief negotiator took over. The record does not show any further communication between the Parties about the policy until September 2, 2022, when the Union sent a letter to Chief Mills stating it had requested the former outside counsel to engage in effects bargaining over the vaccine policy but that she ignored the Union's efforts to schedule negotiating sessions. The letter went on to point out the City of Chicago had made changes in its testing policy in response to the CDC's revised guidelines. The Union requested the Village discontinue its policy and asked the Chief to schedule a meeting. The record contains no response from Chief Mills nor any further correspondence from the Union on this subject.

On October 24, 2022, the Parties held its last mediation session with an FMCS mediator prior to Interest Arbitration. Although the Village in the meantime had rescinded its COVID-19 vaccine and testing policy, the Union presented its proposal to add Section 31.7 in the event the COVID-19 or similar policy was reinstated. The Union acknowledges that prior to October 24, 2022, it had not submitted a written proposal to the Village. The Union further acknowledges that it did not file a ULP over the implementation of the COVID-19 policies and procedures.

The Village argues that the from the time new outside counsel took over the negotiations in March 2022 until the October 24, 2022, mediation session the Union never raised the issue. Therefore, the Village asserts that because the Parties have not exchanged proposals and negotiated alternative language before reaching impasse, it would be inappropriate for the Arbitrator to decide this economic issue.

Because the Union has proposed a new section be added to the Contract, and given that the intent of the language is for the Village to absorb in essence any costs an officer may incur to comply with a prospective mandatory vaccine and testing policy, I find the Union's proposal warrants breakthrough analysis pursuant to *Will County Board and Sherriff of Will County*, S-MA-88-09, p.52 (Nathan, 1988). In *Village of Glenwood*, Arbitrator Feuille observed that Arbitrator Nathan applied the following three-pronged test to decide whether "the party seeking the change to demonstrate, at minimum, proposing a change in the status quo has met its burden of proof:

As other arbitrators have held, for a party in an interest arbitration proceeding to prevail on a demand to change the status quo in its CBA, that moving party must demonstrate "compelling need [for the change] and **evidence of a quid pro quo, . . . [and] evidence of repeated good faith attempts at the bargaining table to secure agreement from the other side.** . . . Only after the moving party is able to carry the burden of compelling need, quid pro quo, and exhaustive, good faith bargaining, should external and internal comparability and other Section 14 factors be examined by an arbitrator" (*Village of Broadview and Fraternal Order of Police*, ILRB No. S-MA-06-145, James Cox, 2007, cited in *City of Danville and Policemen's Benevolent and Protective Association, Unit #11*, ILRB No. S-MA-09-238, at 82, Marvin Hill, 2010).

Village of Glenwood and the Metropolitan Alliance of Police, Chapter 612, pp. 37-38, S-MA-11-185 (Feuille, 2014) (Emphasis added.)

Here, the Parties have not bargained to impasses. The matter is not ripe to apply a breakthrough analysis let alone evaluate the proposal under the statutory factors. Although the Union argues that the Village has avoided its demand to bargain by simply ignoring the matter since October 2021, it also acknowledges that it had not submitted a written proposal to the Village prior to October 24, 2022. In addition, the Union has not disputed the Village's claim that from the time its new outside counsel took over as chief negotiator in March 2022, it has not raised the issue until the final mediation session held on October 24, 2022.

Therefore, I am remanding the Union's proposal to add a *new* Section 31.7 Health Emergencies back to the Parties for discussion. With the Parties' permission I retain jurisdiction in the event they reach an impasse after good faith bargaining and will decide the matter.

(Intentionally Left Blank)

XI. AWARD

For the reasons set forth in this Opinion and Award, I find the following, along with all tentative agreements previously reached by the Parties and as stipulated, shall be incorporated into the Parties' successor Collective Bargaining Agreement, effective, May 1, 2020, to April 30, 2024:

A. Wages (Article XXX, Section 30.1 Base Salary)

The Union's final offer is adopted. The percentage wage increases shall be set as follows:

Wage Schedule for May 1, 2020 – April 30, 2024 Contract	
Date	Percentage Increase
May 1, 2020	2.50%
May 1, 2021	3.00%
May 1, 2022	3.25%
May 1, 2023	3.25%
TOTAL INCREASE	12.00%

B. Health Insurance (Article XXIV, Section 24.5 Employee Contribution)

The Village's final offer is adopted. The percentage contribution officers shall pay of the premium for the health and dental plan in which they are enrolled (HMO, PPO, etc.) shall be set as follows:

Health Insurance Premium Percentage Contribution Schedule for May 1, 2020 – April 30, 2024 Contract	
Date	Percentage Contribution
May 1, 2020	12.5%
May 1, 2021	14.0%
May 1, 2022	14.0%
May 1, 2023	15.0%

C. Annual Uniform Allowance (Article XXIX, Sect. 29.2 Clothing, Maintenance and Special Equipment)

1. The Union's final offer to raise the annual allowance for all bargaining unit Officers for the purchase and maintenance of clothing and special equipment to nine hundred dollars (\$900.00) for the entire Contract period, May 1, 2020, to April 30, 2024, is adopted.
2. The Village's proposal to insert into Section 29.2 a sentence that states, "Officers may purchase informs whenever the Officer Chooses" is adopted.
3. The Village's proposal to insert into Section 29.2 a sentence that states, "Officers must produce receipts for uniform purchases" is rejected and the Union's proposal that the status quo remain is adopted.

D. Addition of a New Section 31.7 Health Emergencies

The Union's proposal to add a *new* Section 31.7 Health Emergencies into Article XXXI General Provisions that states, "The Employer shall pay the employees' out-of-pocket costs for vaccinations and/or disease testing it mandates" is remanded back to the Parties for good faith bargaining. With the Parties' permission I retain jurisdiction in the event they reach an impasse after good faith bargaining and will decide the matter.

/s/ Cary Morgen
Cary Morgen, Arbitrator

Issued: March 19, 2023
Chicago, Illinois